

Group, which already had outstanding dues of ₹125.70 crore transferred by ABG Shipyards prior to April 2015. As per available data, the company's director S. Muthuswamy, who was also a director of ABG Shipyards, resigned from the share trading company in November 2014. Muthuswamy is also charged by the CBI in its fraud investigations. Another director, Datta Rau Pawar of Banal Investments, was also associated with half a dozen companies of the ABG Group.

After nearly two years of the IBC process, there was a lone bidder—UK-based Liberty House—but valuations and other differences cropped up. The banks finally recommended liquidation of the company in April 2019. The liquidator has already made as many as four unsuccessful attempts to realise the liquidation value of around ₹2,000 crore. According to sources, residential land parcels, bungalows and staff quarters, agricultural land, half-finished vessels, and plant and machinery are available for disposal.

The ABG saga also shows complete governance failure. Auditors and independent directors jumped ship without raising any red flags. Two ABG Shipyards independent directors—Ravi Nevatia and Rajani Podar—quietly walked away in mid-2006 with identical resignation letters, absolving themselves completely of any responsibility for wrongdoings: "I will not be responsible for any decisions taken during my tenure and present and future as I was not involved in any decision making." Nevatia's name also figures in the list of directors booked by the CBI. Clearly, the liquidation of ABG Shipyards would not yield more than ₹2,000 crore. There are, however, dues of over ₹27,400 crore.

It is now over to the CBI to unearth the fraud, expose the nexus, if any, between bank officials and the company, and also recover money from Agarwal, who has given his personal guarantee for bank loans. **BT**

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THE MODUS OPERANDI

How funds were diverted via related parties and subsidiaries

► **₹ 812 CRORE** was transferred to ABG Engineering and Construction, which in turn repaid loans of group companies, invested in other group companies, etc.

► **₹ 603 CRORE** was transferred to Ocean Shipping, which then repaid loans of the group companies

► **₹ 227 CRORE** was invested in the company's Singapore-based subsidiary via redeemable shares. The redemption money did not come

SOURCE: EY FORENSIC REPORT

► **₹ 199 CRORE** was transferred to a group share trading company

► **₹ 97 CRORE** was transferred to Nor Crane & Winch, a listed vendor with common directors

► **₹ 83 CRORE** was transferred to related parties for buying properties

► **₹ 64 CRORE** was transferred to loss-making Mahavir Distributor, which is listed as a vendor and also closely connected with the ABG Group



HOW THE ABG COOKIE CRUMBLLED

► **MARCH 1995**
ABG Shipyards incorporated

► **November 2013**
Loan account becomes NPA

► **March 2014**
Loans are restructured under the corporate debt restructuring mechanism by all lending banks

► **July 2016**
Loan restructuring fails; banks classify loan account as an NPA with backdated effect from November 30, 2013

► **August 2017**
Main lender ICICI Bank files an application under Section 7 of the Insolvency and Bankruptcy Code

► **April 2018**
Lenders appoint EY as Forensic Auditor

► **January 2019**
EY submits its report, which talks of diversion of bank funds and fraud by promoters

► **April 2019**
NCLT passes liquidation order in the absence of any resolution

► **November 2019**
ICICI Bank requests SBI, the largest PSB lender involved, to lodge a complaint with the CBI. The first complaint is filed with the CBI

► **December 2020**
SBI files a second complaint with the CBI